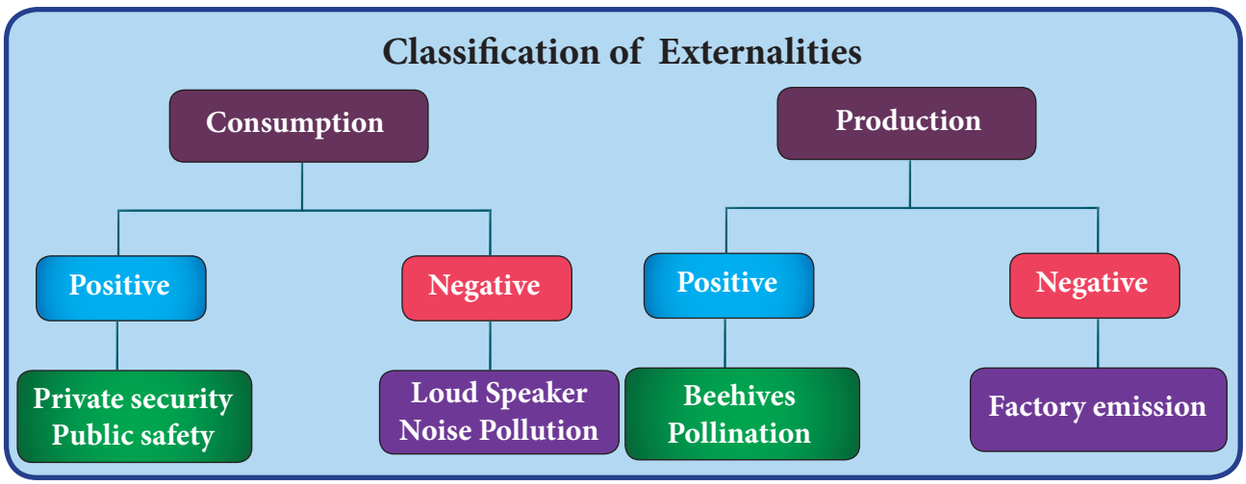


Positive Consumption Externality

When some residents of a locality hire a private security agency to patrol their area, the other residents of the area also benefit from better security without bearing cost.

Negative Consumption Externality

A person smoking cigarette - it gives satisfaction to that person, but this act causes hardship (dissatisfaction) to the non-smokers who are driven to passive smoking.

Positive Production Externality

The ideal location for beehives is orchards (first growing fields). While bees make honey, they also help in the pollination of apple blossoms. The benefits accrue to both producers (honey as well as apple). This is called 'reciprocal untraded interdependency.

Suppose training is given for the workers in a company. If those trained workers leave the company to join some other company, the later company gets the benefit of skilled workers without incurring the cost of training.

Negative Production Externality

Examples of Negative Production Externalities

Negative production externalities include pollution generated by a factory that imposes costs on others

When answering any question on negative externalities consider whether the external costs are significant and if so, whether they can be measured and valued accurately


Air pollution from factories


Pollution from fertilizers


Noise pollution


Industrial waste


Collapsing fish stocks


Methane emissions

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